

Building the Business Case for an In-House Digital Forensics Lab

Written analysis: proposal framework for bringing e-discovery and digital forensics capability in-house at a firm that has previously outsourced this work.

Scenario

A firm expecting to handle digital forensics cases involving email, spreadsheets, and documents through a new e-discovery division needs a business case for building that capability internally, after having outsourced it in the past.

Approach

The proposal is structured around the Investigations Triad — vulnerability assessment, incident response, and digital investigations — with the goal of showing leadership that an in-house lab reduces cost over time, speeds up case handling, and keeps sensitive data under the firm's own control.

1. Needs Assessment and Feasibility

- Quantify past spend on outsourced forensic work, with particular attention to e-discovery cases involving email, spreadsheets, and documents.
- Estimate typical data volumes involved, to size the storage and processing capacity the lab would need.
- Assess whether the firm has adequate physical space for a secure lab and whether current IT infrastructure can support the fast data transfer and heavy processing forensic work requires.

2. Cost-Benefit and Risk Analysis

- Compare total cost of ownership (equipment, software licensing, personnel) against the ongoing cost of outsourcing, to establish whether an in-house lab is financially justified.
- Document the risk of not having in-house capability: evidence mishandling during transport, and delays on urgent legal requests caused by third-party dependency.

3. What to Present to Management

- Accreditation and standards: alignment with recognized bodies such as ANAB, so the lab's findings hold up as scientifically valid and legally defensible.
- Physical security: access control, sign-in logs, and secure evidence storage (fireproof safes/lockers) to preserve chain of custody.
- Hardware and software: forensic workstations, write-blockers to protect original data, and analysis software such as EnCase or FTK.
- Budget structure: CAPEX for one-time purchases (workstations, server racks, physical security upgrades) versus OPEX for recurring costs (software renewals, audits, staff training and certification such as EnCE or CCE).
- Workflow: standard operating procedures covering the full chain from authorized request through acquisition, preservation, analysis, and reporting — establishing that the lab is a legal and investigative process, not just a set of tools.

Why It Matters

Framing the case this way ties every technical and physical requirement back to a business outcome leadership cares about — cost control, speed, and defensibility — rather than presenting the lab as a technical wish list.